

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 968

BY APPROPRIATIONS COMMITTEE

AN ACT

RELATING TO APPROPRIATIONS FOR FISCAL YEARS 2026 AND 2027; TRANSFERRING MONEYS FROM THE PERMANENT BUILDING FUND TO THE LEGISLATIVE ACCOUNT AND PROVIDING THAT THE PRESIDENT PRO TEMPORE OF THE SENATE AND THE SPEAKER OF THE HOUSE OF REPRESENTATIVES SHALL DIRECT THE STATE CONTROLLER TO LIMIT THE FUNDS TRANSFER TO THE LEGISLATIVE ACCOUNT FOR FISCAL YEAR 2026; TRANSFERRING MONEYS FROM THE IDAHO BROADBAND FUND TO THE GENERAL FUND FOR FISCAL YEAR 2026; TRANSFERRING MONEYS FROM THE SCHOOL DISTRICT BUILDING ACCOUNT TO THE GENERAL FUND FOR FISCAL YEAR 2026; APPROPRIATING AND TRANSFERRING FUNDS FROM THE TWENTY-SEVENTH PAYROLL FUND TO THE GENERAL FUND FOR FISCAL YEAR 2026 IF REVENUES DO NOT MEET TARGETS; APPROPRIATING AND TRANSFERRING MONEYS FROM THE AMERICAN RESCUE PLAN ACT STATE AND LOCAL FISCAL RECOVERY FUND TO THE STRATEGIC INITIATIVES FUND FOR FISCAL YEAR 2026; APPROPRIATING AND TRANSFERRING MONEYS FROM THE AMERICAN RESCUE PLAN ACT STATE AND LOCAL FISCAL RECOVERY FUND TO THE FIRE SUPPRESSION DEFICIENCY WARRANT FUND FOR FISCAL YEAR 2026; PROVIDING THAT THE PRESIDENT PRO TEMPORE OF THE SENATE AND THE SPEAKER OF THE HOUSE OF REPRESENTATIVES SHALL DIRECT THE STATE CONTROLLER TO LIMIT THE FUNDS TRANSFER TO THE LEGISLATIVE ACCOUNT FOR FISCAL YEAR 2027; APPROPRIATING AND TRANSFERRING INTEREST EARNINGS FROM THE BUDGET STABILIZATION FUND TO THE GENERAL FUND FOR FISCAL YEAR 2027; APPROPRIATING AND TRANSFERRING INTEREST EARNINGS FROM THE PUBLIC EDUCATION STABILIZATION FUND TO THE GENERAL FUND FOR FISCAL YEAR 2027; APPROPRIATING AND TRANSFERRING INTEREST EARNINGS FROM THE WATER POLLUTION CONTROL FUND TO THE GENERAL FUND FOR FISCAL YEAR 2027; APPROPRIATING AND TRANSFERRING INTEREST EARNINGS FROM THE PERMANENT BUILDING FUND TO THE GENERAL FUND FOR FISCAL YEAR 2027; APPROPRIATING AND TRANSFERRING INTEREST EARNINGS FROM THE STRATEGIC INITIATIVES PROGRAM (DEDICATED) FUND TO THE GENERAL FUND FOR FISCAL YEAR 2027; APPROPRIATING AND TRANSFERRING INTEREST EARNINGS FROM THE STRATEGIC INITIATIVES PROGRAM (LOCAL) FUND TO THE GENERAL FUND FOR FISCAL YEAR 2027; APPROPRIATING AND TRANSFERRING MONEYS FROM THE STRATEGIC INITIATIVES GRANT PROGRAM FUND TO THE GENERAL FUND FOR FISCAL YEAR 2027; AND DECLARING AN EMERGENCY AND PROVIDING EFFECTIVE DATES.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. LEGISLATIVE TRANSFER REDUCED 4% FOR FISCAL YEAR 2026. There is hereby appropriated and the Office of the State Controller shall transfer \$5,803,500 from the Permanent Building Fund that is obligated for remodeling legislative space to the Legislative Account as soon as practicable. Upon passage and approval of this act, and after the cash transfer in this section has occurred, the President Pro Tempore of the Senate and the Speaker of the House of Representatives shall direct the Office of the State Controller to limit the amount transferred from the General Fund to the Legislative Ac-

count pursuant to Section 67-451(2), Idaho Code, to \$8,170,600 for the period July 1, 2025, through June 30, 2026.

SECTION 2. IDAHO BROADBAND FUND CASH TRANSFER FOR FISCAL YEAR 2026. There is hereby appropriated and the Office of the State Controller shall transfer \$13,000,000 from the Idaho Broadband Fund to the General Fund as soon as practicable for the period July 1, 2025, through June 30, 2026.

SECTION 3. SCHOOL DISTRICT BUILDING ACCOUNT CASH TRANSFER FOR FISCAL YEAR 2026. There is hereby appropriated and the Office of the State Controller shall transfer the remaining balances from the School District Building Account, with the exception of the Public Schools Facilities Cooperative Fund subaccount, to the General Fund as soon as practicable for the period July 1, 2025, through June 30, 2026.

SECTION 4. TWENTY-SEVENTH PAYROLL FUND CASH TRANSFER FOR FISCAL YEAR 2026. It is the intent of the Legislature that if General Fund revenues for fiscal year 2026 do not meet the legislative target of \$5,510,100,000 and the remaining cash balance in the General Fund is insufficient to cover revenue shortfalls for the remainder of fiscal year 2026, notwithstanding the provisions of Section 57-826, Idaho Code, the State Board of Examiners is authorized to direct the Office of the State Controller, between May 1, 2026, and June 30, 2026, to transfer sufficient funds from the Twenty-seventh Payroll Fund to the General Fund for the purpose of balancing the state budget. Such transfer is considered an appropriation of moneys.

SECTION 5. CASH TRANSFER TO THE STRATEGIC INITIATIVES FUND FOR FISCAL YEAR 2026. There is hereby appropriated and the Office of the State Controller shall transfer 50% of the interest earnings generated in fiscal years 2024, 2025, and 2026 to the American Rescue Plan Act State and Local Fiscal Recovery Fund or \$32,877,300, whichever is greater, to the Strategic Initiatives Fund as soon as practicable for the period July 1, 2025, through June 30, 2026. The amount shall be confirmed with the Legislative Services Office Budget and Policy Analysis Division.

SECTION 6. CASH TRANSFER TO THE FIRE SUPPRESSION DEFICIENCY WARRANT FUND FOR FISCAL YEAR 2026. There is hereby appropriated and the Office of the State Controller shall transfer 50% of the interest earnings generated in fiscal years 2024, 2025, and 2026 to the American Rescue Plan Act State and Local Fiscal Recovery Fund or \$32,877,200, whichever is greater, to the Fire Suppression Deficiency Warrant Fund as soon as practicable for the period July 1, 2025, through June 30, 2026. The amount shall be confirmed with the Legislative Services Office Budget and Policy Analysis Division.

SECTION 7. LEGISLATIVE TRANSFER REDUCED 5% FOR FISCAL YEAR 2027. On July 1, 2026, and after the cash transfer in Section 1 of this act has occurred, the President Pro Tempore of the Senate and the Speaker of the House of Representatives shall direct the Office of the State Controller to limit the amount transferred from the General Fund to the Legislative Account pur-

1 suant to Section 67-451(2), Idaho Code, to \$8,085,500 for the period July 1,
2 2026, through June 30, 2027.

3 SECTION 8. BUDGET STABILIZATION FUND CASH TRANSFER FOR FISCAL YEAR
4 2027. Notwithstanding the provisions of Section 57-814, Idaho Code, and any
5 other provision of law to the contrary, the Office of the State Controller
6 shall transfer interest earnings generated from the fund balance in the Bud-
7 get Stabilization Fund during the period July 1, 2026, through June 30, 2027,
8 to the General Fund on June 30, 2027, or as soon thereafter as practicable.
9 Such amount shall be confirmed with the Legislative Services Office Budget
10 and Policy Analysis Division and only be used to ensure a minimum General
11 Fund ending cash balance of \$150,000,000 as determined by the legislative
12 record.

13 SECTION 9. PUBLIC EDUCATION STABILIZATION FUND CASH TRANSFER FOR FIS-
14 CAL YEAR 2027. Notwithstanding the provisions of Section 33-907, Idaho
15 Code, and any other provision of law to the contrary, the Office of the
16 State Controller shall transfer interest earnings generated from the fund
17 balance in the Public Education Stabilization Fund during the period July
18 1, 2026, through June 30, 2027, to the General Fund on June 30, 2027, or as
19 soon thereafter as practicable. Such amount shall be confirmed with the
20 Legislative Services Office Budget and Policy Analysis Division and only be
21 used to ensure a minimum General Fund ending cash balance of \$150,000,000 as
22 determined by the legislative record.

23 SECTION 10. WATER POLLUTION CONTROL FUND CASH TRANSFER FOR FISCAL YEAR
24 2027. Notwithstanding the provisions of Section 39-3630, Idaho Code, and
25 any other provision of law to the contrary, the Office of the State Con-
26 troller shall transfer interest earnings generated from the fund balance
27 in the Water Pollution Control Fund during the period July 1, 2026, through
28 June 30, 2027, to the General Fund on June 30, 2027, or as soon thereafter as
29 practicable. Such amount shall be confirmed with the Legislative Services
30 Office Budget and Policy Analysis Division and only be used to ensure a min-
31 imum General Fund ending cash balance of \$150,000,000 as determined by the
32 legislative record.

33 SECTION 11. PERMANENT BUILDING FUND CASH TRANSFER FOR FISCAL YEAR 2027.
34 Notwithstanding the provisions of Section 57-1108, Idaho Code, and any other
35 provision of law to the contrary, the Office of the State Controller shall
36 transfer interest earnings generated from the fund balance in the Permanent
37 Building Fund during the period July 1, 2026, through June 30, 2027, to the
38 General Fund on June 30, 2027, or as soon thereafter as practicable. Such
39 amount shall be confirmed with the Legislative Services Office Budget and
40 Policy Analysis Division and only be used to ensure a minimum General Fund
41 ending cash balance of \$150,000,000 as determined by the legislative record.

42 SECTION 12. STRATEGIC INITIATIVES PROGRAM (DEDICATED) FUND CASH TRANS-
43 FER FOR FISCAL YEAR 2027. Notwithstanding the provisions of Section 40-719,
44 Idaho Code, and any other provision of law to the contrary, the Office of the
45 State Controller shall transfer interest earnings generated from the fund

1 balance in the Strategic Initiatives Program (Dedicated) Fund during the
2 period July 1, 2026, through June 30, 2027, to the General Fund on June 30,
3 2027, or as soon thereafter as practicable. Such amount shall be confirmed
4 with the Legislative Services Office Budget and Policy Analysis Division
5 and only be used to ensure a minimum General Fund ending cash balance of
6 \$150,000,000 as determined by the legislative record.

7 SECTION 13. STRATEGIC INITIATIVES PROGRAM (LOCAL) FUND CASH TRANSFER
8 FOR FISCAL YEAR 2027. Notwithstanding the provisions of Section 40-719,
9 Idaho Code, and any other provision of law to the contrary, the Office of the
10 State Controller shall transfer interest earnings generated from the fund
11 balance in the Strategic Initiatives Program (Local) Fund during the period
12 July 1, 2026, through June 30, 2027, to the General Fund on June 30, 2027, or
13 as soon thereafter as practicable. Such amount shall be confirmed with the
14 Legislative Services Office Budget and Policy Analysis Division and only be
15 used to ensure a minimum General Fund ending cash balance of \$150,000,000 as
16 determined by the legislative record.

17 SECTION 14. STRATEGIC INITIATIVES GRANT PROGRAM FUND CASH TRANSFER FOR
18 FISCAL YEAR 2027. There is hereby appropriated and the Office of the State
19 Controller shall transfer the remaining balance in the Strategic Initia-
20 tives Grant Program Fund to the General Fund for the period July 1, 2026,
21 through June 30, 2027. Such amount shall not be less than \$4,150,200 and
22 shall be confirmed with the Legislative Services Office Budget and Policy
23 Analysis Division and only be used to ensure a minimum General Fund ending
24 cash balance of \$150,000,000 as determined by the legislative record.

25 SECTION 15. An emergency existing therefor, which emergency is hereby
26 declared to exist, Sections 1 through 6 of this act shall be in full force and
27 effect on and after passage and approval, and Sections 7 through 14 of this
28 act shall be in full force and effect on and after July 1, 2026.